

Q 1. Political upheaval or government suddenly losing voting of confidence will be classified as which type of risk?

- ☐ Static risk
- ☐ Dynamic risk
- ☐ Particular risk
- ☐ Non Financial risk
- ☐ Financial risk

☒ UnAttempted

CORRECT ANSWER:

Dynamic risk

Explanation:

Political Upheaval or government suddenly losing voting of confidence will be classified as dynamic risk.

Q 2. For which of the family members mentioned below can a man take HEALTH INSURANCE ?

- ☐ His Brothers
- ☐ His Sisters
- ☐ His Uncles
- ☐ His Parents
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

His Parents

Explanation:

As per the principle of insurable interest, a person can take health insurance for self, spouse, children and parents.

Q 3. What is the foundation of good governance?

- ☐ Having little concern for others
- ☐ A high concern for self
- ☐ Ethical behaviour
- ☐ Being honest
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Ethical behaviour

Explanation:

The foundation of good governance is ethical behaviour. When people perform their duties conscientiously and sincerely, the result is good governance.

Unethical behaviour shows little concern for others and a high concern for self.

Q 4. IBNR claims are _____ .

- ☐ Incurred But Not Reviewed
- ☐ Incurred But Not Reported
- ☐ Involved But Not Responsible
- ☐ Incurred But Not Responsible
- ☐ Investigated But Not Reported

☒ UnAttempted

CORRECT ANSWER:

Incurred But Not Reported

Q 4. IBNR claims are _____ .

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- ☐ Incurred But Not Reported
- ☐ Involved But Not Responsible
- ☐ Incurred But Not Responsible
- ☐ Investigated But Not Reported

☒ UnAttempted

CORRECT ANSWER:

Incurred But Not Reported

Q 5. The total of the actual loss and the consequential loss is known as the _____ .

- ☐ Maximum Possible Loss
- ☐ Minimum Possible Loss
- ☐ Probable Maximum Loss
- ☐ Maximum Probable Loss
- ☐ Probable Possible Loss

☒ UnAttempted

CORRECT ANSWER:

Maximum Possible Loss

Q 6. In which regulations are the code of ethics directed towards ethical behaviour spelt out?

- ☐ Insurance Advisory Committee
- ☐ Insurance Institute of India
- ☐ IRDA
- ☐ Government
- ☐ Insider Trading

☒ UnAttempted

CORRECT ANSWER:

IRDA

Explanation:

The code of ethics spelt out in the IRDA regulations are directed towards ethical behaviour.

Q 7. Amendments to standard policy conditions are called _____ .

- ☐ Conditions
- ☐ Endorsements
- ☐ Exclusions
- ☐ Warranties
- ☐ Changes

☒ UnAttempted

CORRECT ANSWER:

Endorsements

Q 8. The agreements between insurers and reinsurers are known as _____ .

- ☐ Pool arrangements
- ☐ Excess of loss arrangements
- ☐ Quota shares
- ☐ Treaties
- ☐ Hedging

☒ UnAttempted

CORRECT ANSWER:

Treaties

Explanation:

The agreements between insurers and reinsurers are known as treaties.

Q 9. The transfer of risk from one insurance company to another is known as _____ .

- ☐ Retention of risk
- ☐ Migration of risk
- ☐ Re-insurance
- ☐ Minimisation of risk
- ☐ Prevention of risk

☒ UnAttempted

CORRECT ANSWER:

Re-insurance

Explanation:

Reinsurance is insurance that is purchased by an insurance company from one or more other insurance companies directly or through a broker as a means of risk management.

Reinsurance, also known as insurance for insurers or stop-loss insurance, is the practice of insurers transferring portions of risk portfolios to other parties by some form of agreement to reduce the likelihood of having to pay a large obligation resulting from an insurance claim. The party that diversifies its insurance portfolio is known as the ceding party. The party that accepts a portion of the potential obligation in exchange for a share of the insurance premium is known as the reinsurer.

Q 10. Insurers protect the funds of the group by _____ .

- ☐ paying up all claims
- ☐ making the premiums excessive
- ☐ paying exaggerated claims
- ☐ not paying for losses which are not accidental
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

not paying for losses which are not accidental

Q 11. Which of these statements is INCORRECT ?

- ☐ A life insurance policy can be for several years
- ☐ A non life policy can be for short duration
- ☐ Non life policies cannot be issued for periods longer than 1 year
- ☐ Fire and motor policies are generally valid for a year and renewable at the end of the year
- ☐ Marine policies covering shipments of cargo are effective only during the period of shipment

☒ UnAttempted

CORRECT ANSWER:

Non life policies cannot be issued for periods longer than 1 year

Explanation:

Fire and loss of profit policies can go beyond 1 year.

Q 12. Brokers are remunerated by way of _____ by the insurers or reinsurers.

- ☐ Fixed monthly fees
- ☐ Salaries
- ☐ Commissions
- ☐ Consultancy fees
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

Brokers are remunerated by way of brokerage by the insurers or the reinsurers, as the case may be. The brokerage payable to brokers is regulated by the IRDA.

Q 13. Which of these statement is INCORRECT with respect to NOVATION ?

- ☐ Novation can be done for both personal and non personal contracts
- ☐ Novation can be done only with the consent of the insurance company
- ☐ After Novation, the transferred contract is virtually a new one
- ☐ In Novation, the insurance company implicitly expresses confidence in the policy holders integrity
- ☐ Novation is a process of transferring of an insurance contract by way of assignment

☒ UnAttempted

CORRECT ANSWER:

Novation can be done for both personal and non personal contracts

Explanation:

Fire, personal accident, householders policy etc. are personal contracts. In these contracts the insurance company implicitly expresses confidence in the policy holders integrity and ability to take proper care of the subject matter of insurance. Personal contracts can be transferred to another person with the consent of insurance company. If the insurer agrees to the transfer, the contract will virtually be a new one. This alteration is termed as Novation.

Q 14. Hitesh has purchased an Unit linked insurance plan which will provide him the sum assured as well as the value of the fund on death. What will be mentioned on his policy document ?

- ☐ The basis of bonus calculation under the policy
- ☐ The contingencies covered under the policy
- ☐ The investment plans chosen by the customer
- ☐ Only option 1 and 2
- ☐ Only option 2 and 3

☒ UnAttempted

CORRECT ANSWER:

Only option 2 and 3

Explanation:

NAV based capital appreciation comes in to picture for ULIPs and not bonus.

Q 15. With reference to 'Term insurance', which is the correct answer ?

- ☐ It creates equitable distribution of risks & losses
- ☐ Reduces destitution
- ☐ Promotes thrift
- ☐ Helps in savings
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Reduces destitution

Explanation:

Destitution basically means a state of poverty.

Due to term insurance money, even if the family bread earner dies, the family will not be pushed in to utmost poverty.

Q 16. Which of the following sentence is incorrect with reference to the powers of IRDA to protect the interest of policy holders ?

- ☐ Defines the manner in which premium can be paid by a policy holder for purchasing an insurance
- ☐ Guidelines for assignment or transfer of policies and nominations
- ☐ Regulate maintenance of solvency
- ☐ Monitor contents of advertisement to ensure that they do not misguide
- ☐ Regulate the investment of funds

☒ UnAttempted

CORRECT ANSWER:

Monitor contents of advertisement to ensure that they do not misguide

Q 17. _____ is NOT a way of managing risk by way of reduction.

- ☐ Segregation of hazardous materials and processes
- ☐ Installing sprinklers and heat detection systems
- ☐ Periodical maintenance of electrical & other installation
- ☐ Regular drills creating mock situations
- ☐ Taking adequate insurance

☒ UnAttempted

CORRECT ANSWER:

Taking adequate insurance

Explanation:

Reduction: The reduction in risk can occur either before or after an incident has occurred. This can be done in many ways. Examples of reducing a risk prior to an incident would be wearing seatbelts in cars, installing smoke detectors and sprinkler systems in buildings or regular scheduled maintenance of electrical wiring, to prevent fire etc.

Taking insurance is a risk transfer mechanism.

Q 18. Which of these statements is INCORRECT ?

- ☐ Living too long is also a risk
- ☐ Natural calamities can be controlled through risk management
- ☐ Critical illness is a risk as it leads to heavy expenses
- ☐ Bad construction of a building is a risk
- ☐ Foreign exchange fluctuations is a risk

☒ UnAttempted

CORRECT ANSWER:

Natural calamities can be controlled through risk management

Q 19. Retention and transfer are mainly _____ techniques.

- ☐ risk financing
- ☐ risk avoidance
- ☐ risk transfer
- ☐ risk planning
- ☐ risk reducing

☒ UnAttempted

CORRECT ANSWER:

risk financing

Explanation:

Retention and transfer are referred to as risk financing techniques - they seek to make good the losses.

Q 20. An anxious person is always moved by _____ .

- ☐ Emotions
- ☐ Truth
- ☐ Wisdom
- ☐ Judgment
- ☐ Logic

☒ UnAttempted

CORRECT ANSWER:

Emotions

Q 21. What distinguishes a wagering contract from an insurance contract and makes it non speculative ?

- ☐ Principal of utmost good faith
- ☐ Principal of Indemnity
- ☐ Principal of division of risk
- ☐ Principal of Insurable Interest
- ☐ Principal of Contribution

☒ UnAttempted

CORRECT ANSWER:

Principal of Insurable Interest

Explanation:

In a contract of insurance the insured must have insurable interest. Without insurable interest it will be a wagering agreement.

An insurable interest is an economic stake in an event for which an insurance policy is purchased to mitigate risk of loss. An insurable interest is a basic requirement for an insurance company to issue a policy. Entities not subject to financial loss from an event do not have an insurable interest and cannot purchase an insurance policy to cover that event. Insurable interest is what makes an insurance contract legal and valid, and protects against intentionally harmful acts.

Q 22. In which of these insurance is cashless facility available ?

- ☐ Term Insurance
- ☐ Fire Insurance
- ☐ Life Insurance
- ☐ Marine Insurance
- ☐ Health Insurance

☒ UnAttempted

CORRECT ANSWER:

Health Insurance

Explanation:

Health Insurance companies issue cashless cards to the insured which does not require them to pay for treatment (allowed costs) when admitted to one of the network hospitals.

Q 23. Which of the below mentioned term is not common to both Traditional and Linked life insurance policy ?

- ☐ Choice of funds
- ☐ Sum assured
- ☐ Schedule of charges
- ☐ Options 2 and 3
- ☐ Options 1 and 3

☒ UnAttempted

CORRECT ANSWER:

Options 1 and 3

Explanation:

Both traditional plans and ULIPs have a sum assured.

Traditional plans do not have a choice of funds or schedule of charges.

Q 24. Cover Notes are _____ .

- ☐ temporary documents issued for property insurance as a proof of insurance cover
- ☐ meant for giving fire insurance cover for stocks of a company at different locations
- ☐ given when the insurance policy has been finalised and given
- ☐ issued for motor policies as a proof that the Motor Vehicle Act has been complied with
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

temporary documents issued for property insurance as a proof of insurance cover

Explanation:

Cover Note - A temporary document issued by an insurance company that provides insurance coverage until a final insurance policy can be issued.

Q 25. Whole life insurance plan provides for the sum assured only in the event of _____ .

- ☐ survival of life assured during the term of the policy
- ☐ death of the life assured during the term of the policy
- ☐ death or survival of life assured during the term of the policy
- ☐ death of the life assured whenever it would occur
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

death of the life assured whenever it would occur

Explanation:

A term assurance plan with an unspecified period is called a 'Whole Life Policy'. This policy can extend even up to the age of 100 years of the insured person. Under this policy, the sum assured is paid on the death of the policyholder, whenever it happens.

Q 26. Which of these statement is INCORRECT ?

- ☐ Insurance is profitable to the Government
- ☐ Insurance reduces destitution
- ☐ Insurance makes the business go broke
- ☐ Insurance provides large funds to the Government for social causes
- ☐ Due to insurance, there is less dependency on Government in old age

☒ UnAttempted

CORRECT ANSWER:

Insurance makes the business go broke

Q 27. When the General Insurance Business Act was amended in 1999, the GIC was made _____ .

- ☐ A life insurer
- ☐ A general insurance council
- ☐ National reinsurer
- ☐ A general insurer
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

National reinsurer

Explanation:

With the General Insurance Business (Nationalisation) Amendment Act 2002, effective from 21 March 2003, GIC ceased to be a holding company of its four subsidiaries. Their ownership was vested with the Government of India. GIC was notified as a reinsurance company.

Q 28. Select the INCORRECT statement from the below given options, with reference to 'Reinsurance'.

- ☐ In Facultative reinsurance a number of insurers agree to pool all premiums received and claims are paid from that pool.
- ☐ Excess of loss is an arrangement wherein the reinsurer steps in only if there is a loss that exceeds the specified limit.
- ☐ Excess of loss ratio treaties become operational when net claims ratios of the insurer exceed specified limits in a financial year.
- ☐ Ceding is the term used when the primary insurer passes risk on to a reinsurer and the reinsurer accepts the business.
- ☐ Retrocession occurs when a reinsurer reinsures with another reinsurer or insurance company.

☒ UnAttempted

CORRECT ANSWER:

In Facultative reinsurance a number of insurers agree to pool all premiums received and claims are paid from that pool.

Explanation:

When a number of insurers agree to pool all premiums received and claims are paid from that pool its called as POOL ARRANGEMENT.

Facultative reinsurance is when the reinsurer has the right to decide whether they should accept the risk or not.

Q 29. Retrocession means :

- ☐ When the agreement requires reinsurance beyond the retention limit of primary insurer
- ☐ When the reinsurer himself reinsures with another insurer or reinsurer
- ☐ Arrangement whereby the reinsurer steps in only when there is a loss in excess of the specified limit
- ☐ Arrangement made when net claims ratio of the direct insurer in a financial year exceeds specified limits
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

When the reinsurer himself reinsures with another insurer or reinsurer

Explanation:

When a reinsurer reinsures with another reinsurer or insurance company, such process of transfer is called Retrocession.

Q 30. In Insurance terms, PML stands for _____ .

- ☐ Part Manageable Loss
- ☐ Protocol Management Laws
- ☐ Prime Management Live
- ☐ Probable Minimum loss
- ☐ Probable Maximum loss

☒ UnAttempted

CORRECT ANSWER:

Probable Maximum loss

Q 31. Which of the following statements is INCORRECT ?

- ☐ Bad construction of a building is a risk
- ☐ Living too long is a risk
- ☐ Critical illness is a risk as it leads to heavy expenses and loss of income
- ☐ We can control natural calamities by proper risk management
- ☐ Foreign exchange fluctuations is also a risk

☒ UnAttempted

CORRECT ANSWER:

We can control natural calamities by proper risk management

Explanation:

Insurance cannot prevent losses and also cannot avoid peril.

Insurance does not protect the asset. It does not prevent its loss due to the peril, and the peril cannot be avoided through insurance. Insurance only tries to reduce the impact of the financial loss on the owner / beneficiary of the asset.

Q 32. Insurance agents are remunerated by way of _____ by the insurers.

- ☐ Brokerage
- ☐ Salaries
- ☐ Commissions
- ☐ Consultancy fees
- ☐ Charges

☒ UnAttempted

CORRECT ANSWER:

Commissions

Explanation:

Agents are remunerated by way of commissions, which are regulated by IRDA.

Initially the commission for life insurance business is high, but keeps getting lower in the subsequent years.

Q 33. Except for _____ insurance, all insurance transactions begin with a proposal.

- ☐ fire
- ☐ life
- ☐ health
- ☐ motor
- ☐ marine cargo

☒ UnAttempted

CORRECT ANSWER:

marine cargo

Q 34. Who cannot become an insurance agent ?

- ☐ A person who has a criminal record
- ☐ A person who is 19 years of age
- ☐ A person who has cancer
- ☐ A non commerce graduate
- ☐ A person who is working in Fire Department

☒ UnAttempted

CORRECT ANSWER:

A person who has a criminal record

Explanation:

Any person without a criminal record, above the age of 18 years and 12th pass can become an agent once he undertakes the training and clears the exam.

Q 35. Which of the following statements is INCORRECT with respect to 'Arbitration' ?

- ☐ It is a judicial process
- ☐ The arbitrators need not be formal judges or lawyers
- ☐ If there is only one arbitrator appointed, both parties must agree
- ☐ Arbitrators are appointed by the parties to the dispute
- ☐ Arbitration is a quick and less expensive way of resolving disputes

☒ UnAttempted

CORRECT ANSWER:

It is a judicial process

Explanation:

Arbitration is not a judicial process, and the arbitrators need not be formal judges or lawyers. Arbitrators are appointed by the parties to the dispute. If there is only one arbitrator appointed, both parties must agree. If they cannot agree they will appoint one each and the two will select a third one making it a panel of 3. Arbitration is a quick and less expensive way of resolving disputes.

Q 36. What risk is covered in Engineering Insurance ?

- ☐ It covers risks related all type of accidents
- ☐ It covers risks of contractor in engineering projects, building of tunnels etc.
- ☐ It covers risks of motor vehicles on road
- ☐ It covers risks of engineering goods sent by air or sea
- ☐ It covers risks of damage to ocean going ships

☒ UnAttempted

CORRECT ANSWER:

It covers risks of contractor in engineering projects, building of tunnels etc.

Explanation:

Engineering Insurance: this includes several kinds of risk covers like risk cover for contractors in civil engineering projects, erection of electrical plants, breakdown of machinery and its consequential loss of profits etc.

Q 37. Reinstatement Value Policy is issued in Marine Insurance - State True or False ?

- ☐ True
- ☐ False

☒ UnAttempted

CORRECT ANSWER:

False

Explanation:

Reinstatement Value Policy is issued in Fire Insurance.

In case of relatively new machinery, Reinstatement Value Policy may be issued. Under this policy, indemnity is provided by payment of cost of new machinery of the same type, without deduction for depreciation.

Q 38. Under the preview of which act does the premium paid for an insurance policy and the proceeds of claim fall under ?

- ☐ The Insurance Act
- ☐ The RBI Act
- ☐ The FEMA Act
- ☐ The Income Tax Act
- ☐ The Wealth Tax Act

☒ UnAttempted

CORRECT ANSWER:

The Income Tax Act

Q 39. A person has to undergo at least _____ of training to be arranged by the insurance company, and has to pass a test to become an insurance agent.

- ☐ 25 hours
- ☐ 50 hours
- ☐ 75 hours
- ☐ 100 hours
- ☐ 125 hours

☒ UnAttempted

CORRECT ANSWER:

50 hours

Q 40. For which of the below mentioned materials is the loss reduction technique of 'Separation' best suited ?

- ☐ Inflammable materials
- ☐ Poisonous materials
- ☐ Radio active materials
- ☐ Ceramic materials
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

Separation as a Loss reduction technique involves isolating subjects exposed to the same risk. Examples of separation include:

a) keeping inventories in different places b) the 'KEEP AWAY FROM' instructions that are found on gas cylinders, flammable materials and dangerous medicines c) carriers of goods separating cargo which may ignite or contaminate if placed within a certain proximity of something else.

Q 41. Which of these options shows the CORRECT outlook towards insurance ?

- ☐ Life insurance is just another avenue for savings
- ☐ Insurance is a very good product for tax saving
- ☐ An insured person can be less serious about packaging goods
- ☐ Life insurance and general insurance improve the quality of life and reduce destitution
- ☐ Financial authors in newspaper discuss life insurance issues like an investment product

☒ UnAttempted

CORRECT ANSWER:

Life insurance and general insurance improve the quality of life and reduce destitution

Explanation:

Life insurance and general insurance schemes prevent families from being a burden on the society. Destitution ie. poverty can be avoided by adequate insurance.

Q 42. What is the reason as to why airlines spend huge amounts on security arrangements, backups for flight emergencies etc. even though they have insured their aircrafts ?

- ☐ Airlines get huge amount of revenues
- ☐ Airlines get incentives from airport authorities for such arrangements
- ☐ Because the cost of a crash is perceived to be much larger than amount spend on such arrangements
- ☐ Airlines have to show how much they spend on customer security
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Because the cost of a crash is perceived to be much larger than amount spend on such arrangements

Q 43. What is Liability Insurance ?

- ☐ Liability Insurance caters to the medical needs of a family
- ☐ Liability Insurance cover death or disablement arising out of accidents of any kind
- ☐ Liability insurance provides indemnity for injuries to third parties or their property
- ☐ Liability Insurance covers risks related to dishonesty, fraud and embezzlement by employees etc.
- ☐ Liability Insurance covers medical expenses incurred while travelling abroad

☒ UnAttempted

CORRECT ANSWER:

Liability insurance provides indemnity for injuries to third parties or their property

Explanation:

Liability insurance provides indemnity (protection against financial loss payable under law) for injuries to third parties or their property. The policy covers indemnity for professionals providing services such as doctors lawyers, accountants, engineers, etc. These professionals run the risk of being charged with negligence and subsequent liability for damages.

Q 44. Which is the INCORRECT option with respect to regulation of intermediaries by IRDA ?

- ☐ Issue to the applicant a certificate of registration, renew, modify, withdraw, suspend or cancel such registration
- ☐ Specifying the code of conduct for surveyors and loss assessors
- ☐ Calling for information from, undertaking inspection of, conducting enquiries and investigations including audit of the insurers, intermediaries etc.
- ☐ Conduct training and examination for pre-licensing of agents and brokers
- ☐ Adjudication of disputes between insurers and intermediaries or insurance intermediaries

☒ UnAttempted

CORRECT ANSWER:

Conduct training and examination for pre-licensing of agents and brokers

Explanation:

IRDA does not conduct training etc.

Q 45. Apart from Insurance, how can one reduce costs and retain/transfer risks ?

- ☐ Expenses on maintenance, servicing of the subject matter
- ☐ Implementing security measures at each step
- ☐ Expenses on backups, sponsorship, support and standby systems
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

All the above steps are part of reducing costs and / or retaining - transfer of risks.

Q 46. Any transaction by a NRI with respect to buying an insurance policy will be subject to the rules laid down in ____ .

- ☐ The limitation act
- ☐ Foreign exchange management act
- ☐ Inheritance laws
- ☐ Transfer of property act
- ☐ The Negotiable instruments act

☒ UnAttempted

CORRECT ANSWER:

Foreign exchange management act

Explanation:

FEMA refers to transactions like collection of premium, claim payment etc.by NRIs

Q 47. Which of these statements is incorrect ?

- ☐ Tax benefits will be same for all insurance policies every year
- ☐ Commuted values of pensions are exempt from income tax
- ☐ In general insurance plans the tax benefit is available only on health insurance plans
- ☐ Life insurance policies provide saving of taxes
- ☐ The claim amount received under a life insurance policy is exempted from Income tax subject to certain conditions

☒ UnAttempted

CORRECT ANSWER:

Tax benefits will be same for all insurance policies every year

Explanation:

The current income tax provisions can be reviewed at any point by the Income Tax Department and are subject to change.

For eg - A new Direct Tax Code (DTC) had been drafted by the Ministry of Finance was implemented with effect from 1 April 2012 and consequently there were changes to the existing income tax laws at that time.

Q 48. Mr. Mohit is an exporter and wants insurance for his consignments which are shipped regularly. He does not want the hassles of creating different insurance proposals for each consignment, so he will opt for _____.

- ☐ Time or Voyage policies
- ☐ Cover notes
- ☐ Open policy
- ☐ Specific Policy
- ☐ Actual total loss policy

☒ UnAttempted

CORRECT ANSWER:

Open policy

Explanation:

Open policy is a contract for a specific period of time, usually twelve months, and covers shipments as they are made when the consignments are reported to the insurer within a specified period of time by declarations.

Terms are agreed and the final premium is settled at specified intervals based on declarations of quantities and other details of the shipment, every time a shipment is made.

Q 49. Malus happens due to a claim which _____ a specified limit.

- ☐ under states
- ☐ exceed
- ☐ similar
- ☐ is less than
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

exceed

Explanation:

If the policyholder has had a claim and it exceeds a specified limit, the premium is increased. The increase or loading on the premium is called Malus.

Q 50. Which of the below options is INCORRECT ?

- ☐ When people try to serve their own self-interest using their position, then their behaviour is unethical.
- ☐ Ethical behaviour automatically leads to good governance
- ☐ Unethical behaviour shows little concern for others and a high concern for self.
- ☐ When people perform their duties conscientiously and sincerely, the result is good governance
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

All the above options are correct.

The foundation of good governance is ethical behaviour. When people perform their duties conscientiously and sincerely, the result is good governance. Unethical behaviour shows little concern for others and a high concern for self. When people try to serve their own self-interest using their position, then their behaviour is unethical.

It is not unethical to look after your own interests but it is wrong to do so at the expense of others or using your official authority to gain such interests.